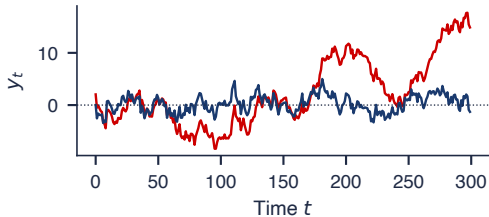
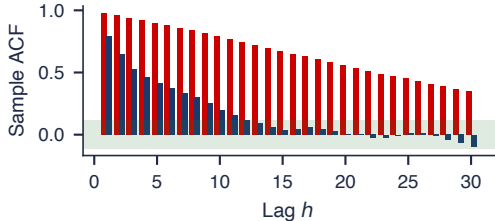


The same shocks



Unit root: the ACF decays very slowly



— Random walk: $y_t = y_{t-1} + \varepsilon_t$ ($\gamma = 0$) — AR(1): $y_t = 0.8 y_{t-1} + \varepsilon_t$ ($\gamma = -0.2$) $\pm 1.96/\sqrt{T}$